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Case Number: NAIH-3734-15/2023.

Subject: Decision

H A T A R O Z A T

The National Authority for Data Protection and Freedom of Information (hereinafter: Authority) [...] in response to the application submitted by the applicant (address: [...]; hereinafter: Applicant) received by the Authority on February 24, 2023, and completed on March 1, 2023, regarding the surveillance of public areas through the camera operated by the [...] (registered office: [...]; company registration number: [...]; hereinafter: Respondent) located at the street front of the building at number [...] has made the following decisions in the data protection authority procedure:

I.

The Authority establishes at the request of the Applicant that the Respondent has violated Article 6(1)(f) of Regulation (EU) 2016/679 of the European Parliament and of the Council (hereinafter: GDPR) concerning the protection of natural persons with regard to the processing of personal data and on the free movement of such data, as well as the repeal of Directive 95/46/EC (General Data Protection Regulation).

II.

The Authority grants the Applicant's request and orders the Respondent, pursuant to Article 58(2)(d) of the GDPR, to cease the surveillance of the public road and the area suitable for parking between the road and the sidewalk through the camera.

III.

The Authority issues a warning to the Respondent due to the violation established in point I.

The measure prescribed in point II must be taken by the Respondent within 30 days from the finalization of this decision – from its delivery – and must be promptly substantiated to the Authority with supporting evidence.

There is no administrative remedy against this decision and order, but it can be contested in an administrative lawsuit with a petition addressed to the Metropolitan Court within 30 days from the communication.¹ The petition must be submitted electronically to the Authority, which will forward it along with the case documents to the court. A request for a hearing must be indicated in the petition. In the lawsuit against the order, the court will proceed in a simplified manner, outside of a hearing. For those not fully exempt from personal fees, the administrative lawsuit fee is HUF 30,000, and the case is subject to the fee recording obligation. Legal representation is mandatory in proceedings before the Metropolitan Court.

¹ The form for initiating the administrative lawsuit is called NAIH_K01. The form can be filled out using the general form filling program (ÁNYK program). The form is accessible and can be downloaded from the Authority's website: <https://www.naih.hu/kozig-hatarozat-birosagi-felulvizsgalata>

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I N D O K O L Á S

I. Subject of the Procedure

(1) The Applicant's request for a data protection authority procedure was received by the Authority on February 24, 2023, in which it was stated that the Respondent operates two cameras suitable for monitoring public areas on the street-facing facade of the building located at [...] – where a mixed retail

store operates – which are also capable of monitoring the area in front of two neighboring properties.

(2) The Applicant is considered an affected party because their spouse is a co-owner of the property located at [...], where renovation work is being carried out, thus they regularly find themselves within the field of view of the cameras monitoring public areas placed on the facade of the store.

(3) According to the Applicant, the previous owner of the Respondent, [...] can monitor the images transmitted by the cameras on their mobile phone. The Applicant stated that on one occasion, [...] called the police because they were disturbed by the fact that the owner of one of the neighboring properties parked in the parking space created in front of the property located at [...], as they believe this obstructs the view of the store for customers. At that time, according to the Applicant, [...] was not present on site but was monitoring the camera footage through their mobile phone.

(4) The Applicant requested that the Authority obligate the Respondent to cease the unlawful conduct and sanction the Respondent in the strictest possible manner.

II. Facts

(5) The Respondent operates an electronic surveillance system in the grocery store located at the property numbered [...] and on the street-facing side of the property, which is thus suitable for monitoring public areas.

(6) Two cameras have been placed on the street-facing side of the property. Until March 7, 2023, these monitored the sidewalk in front of the property, a small part of the sidewalks in front of the two neighboring properties, the area suitable for parking between the property and the road, as well as a part of the road and a portion of the trodden path without a sidewalk located on the opposite side of the road; however, due to the angle of view and distance, the images of individuals moving along the path were not recorded in a manner suitable for identification, as they could capture the image of an adult person only up to waist height.

(7) Following the receipt of the Authority's inquiry, on March 8, 2023, the Respondent made a minor modification to the camera's field of view through physical masking, such that it is no longer suitable for monitoring the sidewalk in front of the neighboring properties and the trodden path across the street, and now only a smaller portion of the road – smaller than that of a passenger car – falls within the cameras' field of view. The section of the sidewalk in front of the store, as well as the area suitable for parking between the road and the sidewalk in front of the store, still falls within the cameras' field of view.

(8) The Respondent indicated personal and property protection as the reason for operating the camera system, as only one employee works in the store at a time, and the area around the property is typically deserted during early and late hours, meaning that the cameras also serve to protect the life and physical integrity of the employees. According to information available online and photographs submitted by the Respondent, the store is open on weekdays from 07:00 to 22:00, on Saturdays from 10:00 to 22:00, and on Sundays from 16:00 to 22:00; according to the Respondent's statement, the morning opening time is 6:00. In front of the property

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operates at the [...] University [...]. According to the statement of the Applicant, pedestrian traffic in the street is hectic during the day, which is also influenced by the schedule of education; however, the main entrance of the university does not open from [...] street, but from [...] street.

(9) The Applicant identified the legitimate interest associated with data processing as the legal basis for the data management carried out in public space through the camera system, for which an interest balancing test was also prepared. This test forms Appendix 2 of the Camera Regulation submitted by the Applicant. The Camera Regulation, along with its appendices, has been in effect since August 1, 2022.

(10) To justify the legality of the interest, the Applicant referred to Section 31 (1) of Act CXXXIII of 2005 on the rules of personal and property protection, as well as private investigation activities, which was

previously in effect, stating that the form of electronic surveillance system that allows for image, sound, or image and sound recording can be applied for the protection of human life, physical integrity, personal freedom, (...) as well as for property protection (...). In the interest balancing test, regarding the legitimacy and timeliness of the legitimate interest, the Applicant stated that the protection of persons and property is a genuine interest defined by law, and the investigation of suspicions indicating extraordinary events occurring in the business is a fundamental economic interest of the data controller. According to the Applicant, the legitimate interest is current because both the protection of persons and property and the investigation of extraordinary cases are based on a constant, ongoing, or regularly occurring need or events in the practice of the Applicant. Due to the location of the property, the number of passersby and travelers is hectic, and in the event of a potential burglary, robbery, theft, or attack, the existence of witnesses is uncertain.

(11) In the interest balancing test, the Applicant also noted that the protection of persons and property is a societal interest that is broadly related to the effective detection of crimes and public safety.

(12) Furthermore, it was elaborated regarding the necessity of data processing that the operation of the electronic surveillance system is carried out for the protection of the property, human life and physical integrity, property protection, as well as for the prevention, detection, apprehension of perpetrators of potential extraordinary events, and the prevention of unlawful acts. The operation of the camera system significantly contributes to achieving these goals because the aforementioned events can be significantly prevented when potential perpetrators are aware that their actions are being recorded by cameras, thus making their unlawful behavior easier to investigate later.

(13) In the interest balancing test, the Applicant further stated that there is no technique or system that could reconstruct what happened during an extraordinary event or crime without recording images and videos, thus achieving these goals cannot be ensured by other methods that would less restrict or violate the information self-determination and personal rights of the affected individuals. From a purely property protection perspective, operating an alarm system—of which the property is already equipped—would be sufficient; however, it does not allow for the investigation and detection of extraordinary events or crimes, nor for the identification of perpetrators. Anonymizing the recordings or live monitoring without recording would make it impossible to investigate and prove potential extraordinary events and crimes, and the lack of recordings as evidence would also hinder any potential proceedings.

(14) It is recorded in the interest balancing test that camera surveillance restricts the information self-determination rights of the affected individuals; however, according to the Applicant's position, the restriction is necessary and proportionate. The reason for this is that "the negative impact of data processing on the data subject..."

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"the positive effects outweigh the negative effects, as well as the fact that the data processing is predictable." According to the balancing test, the permissibility of data processing is tilted towards the protection of persons and property, the repeated disturbances and break-ins occurring in the area, the comprehensive information provided by the Applicant, as well as the data security and data protection measures taken in the interest of the affected parties.

(15) Among the data security measures, it has been established that the images indirectly captured by the cameras can only be viewed by staff members; customers cannot see them. The recordings are stored on a separate data carrier, to which only the managing director of the Applicant has access. All activities performed on the files containing the recordings—deletion, archiving, retrieval—are logged in the system.

(16) In support of its legitimate interest, the Applicant stated in its declaration—separate from the balancing test—that several businesses operate within a 500-meter radius of the store, where thefts and vandalism are frequent, thus justifying the installation of street-facing cameras. According to the Applicant, there have been 8-10 thefts in the store over the last approximately 8 years. The managing director of the Applicant has filed reports twice, which led to administrative proceedings, considering

that the thefts were committed for amounts not exceeding fifty thousand forints, meaning that they did not reach the threshold for administrative offenses.

(17) According to the Applicant's statement, there was an instance where the perpetrator waited outside the entrance until no one was in the store besides the employee, while in another case, the perpetrator only put on the hood of their coat or sweater in front of the entrance so that the cameras inside would not capture their face. Therefore, in the Applicant's view, the existence of street-facing cameras and the adjustment of their field of view in such a way that the faces of those entering are visible is essential for identifying the perpetrators.

(18) The installed cameras record images, and the type of recorder is MaZi HAVR-1672H1. The recorder connects to a router and has internet access. The mobile application associated with the cameras is iVMS-4500 4.7.11 (Build 20211023), through which the images from the cameras are accessible; the application logs entries and exits and is password-protected.

(19) The retention period for the recordings captured by the cameras is 48 hours.

(20) According to the Applicant's declaration and the photographs attached by them, the affected parties are informed about the data processing taking place through a sign warning of camera surveillance and a posted text data processing notice at the entrance of the store. A sign warning of camera surveillance has also been placed on the gate next to the store entrance and on the shutter covering the entrance door during the store's closing hours.

(21) The Applicant attached its "Policy on the Use of Camera Surveillance Systems," the balancing test—as described above—and the data processing notice related to the data processing carried out through the camera surveillance system.

(22) According to the Applicant's declaration, the notice has been placed on the store's door, informing the affected parties about the operation of the camera surveillance system and that image recording is also taking place through the cameras. In the notice, the Applicant indicated the legal basis for data processing as Article 6(1)(f) of the GDPR, stating that the subject of the legitimate interest is the protection of persons and property. The notice includes the retention period for the recordings, as well as the identity and contact details of the person authorized to access them.

(23) In the notice regarding the rights of the affected parties, the Applicant informs the affected parties, among other things, that if the recording of the images affects their rights or legitimate interests, then...

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With the verification of this, the Applicant may request from the Respondent within 24 hours from the recording that the footage not be deleted. The notification also includes information on legal remedies.

(24)

On behalf of the Respondent, the managing director stated – as a supplement to the Applicant's request – that the 112 emergency number was called on one occasion. The reason for this was that there are several apartments in the property located at [...] with a driveway. The Applicant's family members regularly park in the driveway, thereby preventing other residents from using the driveway and accessing the property's yard. As a result, the residents of the neighboring property and their visitors occupy the parking space in front of the store – the area suitable for parking between the road and the sidewalk – making it impossible for customers to stop in front of the store, which, in their opinion, causes them a disadvantage. The Respondent stated that it is also prohibited to park in front of one's own driveway if there are multiple parts of the property owned by different owners. This is considered an infringement, which is why the emergency dispatcher sent the police.

(25)

The Authority contacted the [...] Police Department in order to determine the legality of the data processing carried out through the camera system, as well as whether the legitimate interest of the data controller under Article 6(1)(f) of the GDPR actually exists, and whether the data processing carried out to enforce the legitimate interest proportionately restricts the right of the data subjects to

the protection of their personal data in relation to the intended purpose of the data processing – personal and property protection. It is also necessary to know how frequent the crimes and infringements mentioned by the Respondent – theft, vandalism, bodily harm – are in the vicinity of the property, and how they relate to the urban average.

(26)

The [...] Police Department informed the Authority that the Unified Investigative Authority and Prosecutor's Criminal Statistics (hereinafter: ENyÜBS) contains data not on crimes committed in the current year, but on cases completed in the current year. Regarding the years 2018-2022 in the area of [...], the number of crimes registered in police proceedings according to ENyÜBS data is as follows: in 2018, 918 thefts, 63 vandalism, 18 robberies, 205 bodily harm; in 2019, 631 thefts, 51 vandalism, 7 robberies, 124 bodily harm; in 2020, 447 thefts, 72 vandalism, 13 robberies, 126 bodily harm; in 2021, 554 thefts, 83 vandalism, 12 robberies, 130 bodily harm; in 2022, 439 thefts, 56 vandalism, 11 robberies, 114 bodily harm. The number of property-related infringements was 730 in 2018, 729 in 2019, 583 in 2020, 577 in 2021, and 649 in 2022.

(27)

The [...] Police Department informed the Authority that neither the ENyÜBS nor the statistics extractable from the Netsaru [...] system regarding infringements contain any data that would indicate where, in which street, or in which district within the city the crimes and infringements occurred, thus they cannot provide information on how many property-related crimes or infringements occurred on [...] street in the past 5 years.

(28)

In order to understand the nature of the crimes and infringements committed against the known Respondent, the Authority obtained the relevant documents from the [...] Police Department – complaint, testimony of the Respondent's managing director or employees – in which the Respondent or the former owner of the Respondent, [...] made the complaint.

(29)

During the authority proceedings, there was a change in the identity of the Respondent's managing director and owner; from June 15, 2023, the managing director of the Respondent is [...], and from August 15, 2023, the owner is also [...].

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III. Applicable Legislation

(30)

According to Article 2(1) of the GDPR, the GDPR must be applied to the data processing in this case.

(31)

GDPR (47) recitals: The data controller – including the data controller with whom personal data may be shared – or the legitimate interest of a third party may provide a legal basis for processing, provided that the interests, fundamental rights, and freedoms of the data subject do not take precedence, taking into account the reasonable expectations of the data subject based on their relationship with the data controller. Such legitimate interest may arise, for example, when there is a relevant and appropriate relationship between the data subject and the data controller, such as in cases where the data subject is a customer of the data controller or is employed by them. To establish the existence of a legitimate interest, it is essential to carefully consider, among other things, whether the data subject can reasonably expect that their personal data may be processed for that purpose at the time of collection and in that context. The interests and fundamental rights of the data subject may take precedence over the interests of the data controller if the personal data is processed under circumstances in which the data subjects do not expect further processing. Since it is the legislator's task to determine in legislation on what legal basis public authorities may process personal data, a legal basis supporting the legitimate interest of the data controller cannot be applied to data processing carried out by public authorities in the performance of their tasks. The processing of personal data necessary for the prevention of fraud is also considered to be in the legitimate interest of the data controller. The

processing of personal data for direct marketing purposes is also considered to be based on legitimate interest.

(32)

GDPR (148) recitals: In order to strengthen the enforcement of the rules laid down in this regulation, in the event of any breach of this regulation, sanctions – including administrative fines – must be imposed in addition to or instead of the appropriate measures prescribed by the supervisory authority under this regulation. In the case of minor breaches of this regulation, or if the fine likely to be imposed would represent a disproportionate burden for a natural person, a reprimand may also be applied instead of a fine. However, due consideration must be given to the nature, gravity, duration, intentionality of the infringement, and whether measures have been taken to mitigate the extent of the damage suffered, as well as the degree of responsibility, previous infringements in this area, how the supervisory authority became aware of the infringement, and whether the data controller or processor complies with the measures imposed on them and whether they apply any code of conduct, as well as any other aggravating or mitigating circumstances. The imposition of sanctions – including administrative fines – must be carried out in accordance with the procedural guarantees provided by EU law and the general principles of the Charter, including effective legal protection and the right to a fair trial.

(33)

GDPR Article 6(1): The processing of personal data is lawful only if at least one of the following applies:

a)

the data subject has given consent to the processing of their personal data for one or more specific purposes;

b)

the processing is necessary for the performance of a contract to which the data subject is a party, or for taking steps at the request of the data subject prior to entering into a contract;

c)

the processing is necessary for compliance with a legal obligation to which the data controller is subject;

d)

the processing is necessary in order to protect the vital interests of the data subject or of another natural person;

e)

the processing is necessary for the performance of a task carried out in the public interest or in the exercise of official authority vested in the data controller;

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f) the processing of data is necessary for the enforcement of the legitimate interests of the data controller or a third party, unless these interests are overridden by the interests or fundamental rights and freedoms of the data subject, which require the protection of personal data, especially if the data subject is a child.

The first subparagraph point f) does not apply to data processing carried out by public authorities in the performance of their tasks.

(34) GDPR Article 58(2)(b): In exercising its corrective powers, the supervisory authority:

b) reprimands the data controller or the data processor if the data processing activities violate the provisions of this regulation;

d) instructs the data controller or the data processor to bring its data processing operations into compliance with the provisions of this regulation – where applicable, in a specified manner and within a specified time frame;

(35) GDPR Article 77(1): Without prejudice to other administrative or judicial remedies, every data subject has the right to lodge a complaint with a supervisory authority – in particular in the Member State of their habitual residence, their place of work, or the place of the alleged infringement – if the

data subject believes that the processing of personal data concerning them infringes this regulation.

(36) Infotv. Section 2(2): The processing of personal data falling under the scope of Regulation (EU) 2016/679 of the European Parliament and of the Council (hereinafter: General Data Protection Regulation) shall be governed by the General Data Protection Regulation as specified in Chapters III-V and VI/A, as well as in points 3(3), (4), (6), (11), (12), (13), (16), (17), (21), (23-24), Section 4(5), Sections 5(3)-(5), (7) and (8), Section 13(2), Section 23, Section 25, Section 25/G(3), (4) and (6), Section 25/H(2), Section 25/M(2), Section 25/N, Section 51/A(1), Sections 52-54, Sections 55(1)-(2), Sections 56-60, Sections 60/A(1)-(3) and (6), Section 61(1)(a) and (c), Sections 61(2) and (3), Section 61(4)(b) and (6)-(10), Sections 62-71, Section 72, and Sections 75(1)-(5), Section 75/A, and the Annex 1.

(37) According to Infotv. Section 60(1), in order to ensure the enforcement of the right to the protection of personal data, the Authority may initiate a data protection authority procedure ex officio. The rules of Act CL of 2016 on general administrative procedure (hereinafter: Ákr.) shall apply to the data protection authority procedure with the supplements specified in Infotv. and with deviations according to the General Data Protection Regulation.

(38) Infotv. Section 75/A: The Authority exercises the powers set out in Articles 83(2)-(6) of the General Data Protection Regulation, taking into account the principle of proportionality, particularly in that, in the case of the first violation of the provisions regarding the processing of personal data – as defined in legislation or in a binding legal act of the European Union – the remedy for the infringement shall primarily be addressed by warning the data controller or data processor, in accordance with Article 58 of the General Data Protection Regulation.

(39) The rules of Act CL of 2016 on general administrative procedure (hereinafter: Ákr.) shall apply to the data protection authority procedure with the supplements specified in Infotv. and with deviations according to the General Data Protection Regulation.

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IV. Decision

IV.1. Legality of Public Area Surveillance

(40) The Authority must assess in this procedure whether the data processing conducted by the Applicant through the camera system is necessary for the personal and property protection purposes indicated by it, as well as for crime prevention and detection purposes, and whether the restriction of rights associated with the data processing – the limitation of the right to the protection of personal data – is proportional to the intended objective.

(41) The Authority considers it essential to establish that the Court of Justice of the European Union (hereinafter: CJEU) stated in case C-212/13, František Ryneš v. Office for Personal Data Protection, that if a video surveillance system continuously records and stores personal data, and it extends, even partially, to public areas, meaning that the data processing is directed outside the data controller's private sphere, it cannot be considered household data processing. However, this does not mean that in justified cases, under the conditions set out in Article 6(1)(f) of the GDPR, and with appropriate safeguards, partial camera surveillance of public areas cannot take place in proportion to the intended objective.

(42) According to Article 6(1)(f) of the GDPR, the processing of personal data is lawful if and to the extent that it is necessary for the purposes of the legitimate interests pursued by the data controller or a third party, except where such interests are overridden by the interests or fundamental rights and freedoms of the data subject which require protection of personal data, particularly if the data subject is a child.

(43) The legitimate interest of the Applicant, and at the same time the purpose of the data processing, is to protect the store from vandalism, to prevent thefts there, to ensure the safety of its employees, and to assist in the detection of crimes or offenses, providing evidence during proceedings.

(44) However, it is not sufficient for the legality of the data processing that a legitimate interest related to the data processing can be identified on the part of the data controller; according to point 44 of the CJEU judgment C-708/18, it must exist and be actual at the time of the data processing, and it cannot be theoretical or hypothetical at that time.

(45) In the Authority's view, the legitimate interest of the Applicant related to the data processing can be considered existing and actual, as confirmed by the [...] Police Department, there have already been minor property crimes in the Applicant's store, which have led to administrative or criminal proceedings.

(46) The Applicant examined the alternatives to data processing through the cameras placed on the street front in the attached balancing test, that is, whether there is a method that is equally suitable for achieving the data processing purpose but involves less restriction of rights or does not involve any restriction of rights, that is, the processing of personal data. The Authority accepts the Applicant's argument that the operation of the alarm system – which the store has – does not represent a real alternative in this specific case, as it only operates outside of business hours and does not provide protection against minor thefts committed during business hours, lacking a deterrent effect in that regard.

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(47) The European Data Protection Board's Guidelines 3/2019 on the processing of personal data through video devices (hereinafter: Guidelines) state in point 27 that "generally, video surveillance should be applied only up to the boundary of the property for the protection of the data controllers' premises and facilities. However, there are cases where monitoring the property is not sufficient for effective protection. In certain specific cases, it may be necessary to extend video surveillance to surrounding areas. In this regard, the data controller should consider physical and technical solutions, such as masking or pixelating irrelevant areas."

(48) According to the Authority, when assessing the legality of camera data processing directed at public areas, it should be taken into account that there is no front yard between the building housing the store and the sidewalk, and the store's entrance opens directly onto the street, thus the camera surveillance of the store entrance can only be implemented in such a way that a small portion of the public area is also included, with the possibility of reducing the monitored area through camera masking. Until March 7, 2023, the Applicant did not apply masking on the cameras; however, from March 8, 2023, masking has been applied, meaning that the sections of the sidewalk in front of neighboring properties, the opposite worn path, and part of the roadway have been masked. The cameras monitor the sidewalk in front of the store, the area suitable for parking between the roadway and the sidewalk, and the roadway to a lesser extent compared to before.

(49) The Authority also considers it important to take into account the fact that the store is open every day until 10:00 PM, in a street with variable but low traffic during the evening, and generally only one employee is present in the store at a time. The Authority holds the view that the cameras placed on the street front have a deterrent effect on the commission of crimes by themselves, and if someone nevertheless commits a crime against the Applicant, the images recorded by the street front cameras may contribute to the identification of the perpetrator, for example, if the perpetrator puts on a hood or cap in front of the store entrance, but may also be significant in terms of crime detection, for instance, regarding which direction the perpetrator leaves the store, thereby facilitating the work of the investigative authority in determining which areas may be worth reviewing the footage from surveillance cameras operated by the police or the municipality.

(50) The Authority finds it necessary to note here that the Applicant referred in their statement to the Authority that there are cases where perpetrators cover their faces on the street in front of the store; however, this aspect was not presented by the Applicant in the balancing of interests test. Nevertheless, since it is relevant in terms of the legitimate interest related to data processing, the Authority takes it into account.

(51) In the balancing of interests test, as well as in identifying the legitimate interest related to data

processing, the Applicant did not distinguish between different parts of the public area, meaning that they considered their legitimate interest to be uniformly present for the monitoring of the sidewalk, the roadway, and the area suitable for parking between them. However, according to the Authority, it should be examined in terms of the necessity and proportionality of data processing how much monitoring of certain parts of the public area is necessary for the enforcement of the Applicant's legitimate interest.

(52) As the Authority has already referred to above, according to point 27 of the Guidelines, video surveillance may, in certain justified cases, extend beyond the boundary of the property into a strip – thus into public areas – provided that this is limited to the most necessary area.

2 https://edpb.europa.eu/sites/default/files/files/file1/edpb_guidelines_201903_video_devices_hu.pdf
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(53) During the proceedings, the Respondent did not present any circumstances that would support the necessity of such extensive surveillance of public space, nor did any such circumstances arise in the documents obtained from the Police Department.

(54) Nevertheless, the Authority's position is that the camera surveillance directed at the narrow strip beyond the property boundary, in this case the sidewalk, only minimally restricts the rights and freedoms of the affected parties, as the cameras, while recording their images and movements, are limited to a narrow section of the sidewalk.

(55) In light of the above, the Authority's position is that the Respondent has a legitimate interest in the data processing aimed at the direct surveillance of the narrow area in front of the store through the cameras operated on the store's street front, both at the time of the application and continuously since then, as the Respondent has a legitimate interest in accordance with the above, which is actual and existing, and the data processing is necessary to achieve this interest and the resulting purpose of data processing, namely the appropriate assurance of property protection, and the restriction of rights is proportional to the intended goal, thus in this regard, the data processing is considered lawful.

(56) The Authority examined, based on the Applicant's request, whether the extent of the data processing realized through the cameras was lawful until March 8, 2023 – that is, before the Respondent carried out the masking – and thereafter. According to the Authority's position, the legitimate interest related to the data processing existed even before March 8, 2023, as established in point (50), however, the extent of the surveillance – monitoring the section of the sidewalk in front of neighboring properties, the area suitable for parking between the road and the sidewalk, the road itself, and part of the beaten path without a sidewalk on the other side of the road – exceeded the necessary extent for achieving the data processing purpose and enforcing the legitimate interest. Consequently, both until the masking was performed and thereafter, the Respondent disproportionately monitored public space, as the extent of surveillance and data processing established in points (47)-(50) would have been sufficient to achieve the data processing purpose. Based on all of this, the Authority finds that until March 8, 2023, the Respondent unlawfully operated the cameras located on the street front of the building at number [...] in a manner that was capable of monitoring the section of the sidewalk in front of neighboring properties, the areas suitable for parking between the road and the sidewalk in front of the store, the road itself, and part of the beaten path without a sidewalk on the other side of the road, and that with the current settings of the cameras used since March 8, 2023, the Respondent violated Article 6(1)(f) of the GDPR, as in reference to the legitimate interest outlined above, the Respondent did not ensure that the data processing was proportional, thereby monitoring not only the section of the sidewalk in front of the store but also the road, as well as the area suitable for parking between the road and the sidewalk in front of the store.

IV.2. Decision on the Applicant's Requests

(57) The Applicant requested that the Authority order the Respondent to cease the unlawful behavior and sanction the Respondent in the strictest possible manner.

(58) The Authority interpreted the latter request as a request for the imposition of a data protection fine

based on its wording.

(59) The Authority rejects the Applicant's request for the imposition of a data protection fine, as the application of this legal consequence does not directly affect the Applicant's rights or legitimate interests, and such a decision by the Authority does not create rights or obligations for the Applicant; therefore, regarding the application of this legal consequence falling within the scope of public interest enforcement – the

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Regarding the imposition of fines – the Applicant is not considered a client under Section 10(1) of the Administrative Procedure Act (Ákr.), thus there is no basis for submitting a request in this regard, and this part of the submission cannot be interpreted as a request.

IV.3. Legal Consequences

(60) The Authority establishes that the Respondent has violated Article 6(1)(f) of the GDPR.

(61) The Authority grants the Applicant's request and instructs the Respondent, based on Article 58(2)(d) of the GDPR, to bring its data processing into compliance with the GDPR, namely to cease the monitoring of public areas – excluding the section of the sidewalk in front of the store – that is, the roadway, as well as the area suitable for parking between the roadway and the sidewalk in front of the store, either by relocating or dismantling the cameras or through masking.

(62) According to Section 75/A of the Information Act (Infotv.), the Authority exercises its powers as set forth in Articles 83(2)-(6) of the General Data Protection Regulation, taking into account the principle of proportionality, particularly in that in the case of a first-time violation of the provisions regarding the processing of personal data – as defined in legislation or in a binding legal act of the European Union – the remedy for the violation is primarily addressed by warning the data controller or data processor, in accordance with Article 58 of the General Data Protection Regulation.

(63) The Authority does not find it necessary to impose a data protection fine on the Respondent, considering that the Respondent has violated the provisions of the GDPR for the first time and has taken measures during the procedure to legalize the extent of data processing.

(64) Based on all of the above, the Authority's position is that the established violation cannot be considered serious enough to justify the application of a data protection fine, thus it considers the warning to be a sufficient sanction, also taking into account the (148) recital of the GDPR, which states that in the case of minor violations of the GDPR, a reprimand may be applied instead of a fine.

(65) Based on all of the above, the Authority has decided as stated in the operative part.

V. Other Issues

(66) The Authority's jurisdiction is defined by Section 38(2) and (2a) of the Infotv., and its competence extends to the entire territory of the country.

(67) The decision is based on Sections 80-81 of the Ákr. The decision becomes final upon its communication in accordance with Section 82(1) of the Ákr.

(68) According to Section 112 of the Ákr., and Section 116(1), as well as Section 114(1), there is a right to legal remedy against the decision and the terminating order through administrative litigation.

(69) The rules of administrative litigation are defined by Act I of 2017 on Administrative Litigation (hereinafter: Kp.). According to Section 12(1) of the Kp., administrative litigation against the Authority's decision falls under the jurisdiction of the court, and based on Section 13(3)(a)aa of the Kp., the Metropolitan Court is exclusively competent for the litigation. According to Section 27(1)(b) of the Kp., legal representation is mandatory in cases falling under the jurisdiction of the court. According to Section 39(6) of the Kp., the submission of a statement of claim does not have a suspensive effect on the enforcement of the administrative act.

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(70) According to Section 29(1) of the Kp. and in consideration of this, pursuant to Section 604 of the Civil Procedure Act, the Act CCXXII of 2015 on the General Rules of Electronic Administration and Trust Services (hereinafter: E-Administrative Act) stipulates in Section 9(1)(b) that the client's legal representative is obliged to maintain electronic communication.

(71) The time and place for submitting the statement of claim are determined by Section 39(1) of the Kp. Information regarding the possibility of requesting a hearing is based on Sections 77(1)-(2) of the Kp. The amount of the administrative litigation fee is determined by Section 45/A(1) of Act XCIII of 1990 on Fees (hereinafter: Itv.). The Itv. Section 59(1) and Section 62(1)(h) exempt the initiating party from the preliminary payment of the fee.

(72) If the Respondents do not adequately prove the fulfillment of their prescribed obligations, the Authority will consider that the obligation has not been fulfilled within the deadline. According to Section 132 of the Ákr., if the obligated party does not comply with the obligation stated in the final decision of the authority, it is enforceable. The Authority's decision becomes final upon its communication according to Section 82(1) of the Ákr. According to Section 133 of the Ákr., the enforcement is ordered by the authority that made the decision, unless otherwise provided by law or government decree. According to Section 134 of the Ákr., the enforcement is carried out by the state tax authority unless otherwise provided by law, government decree, or a local government regulation in a local government authority matter. According to Section 60(7) of the Infotv., regarding the obligation to perform a specific act, to behave in a certain way, to tolerate, or to cease, the enforcement of the decision is carried out by the Authority.

Budapest, November 30, 2023

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President

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